



“Retail investors should evaluate InvITs as structured vehicles with embedded risks, where returns are contingent on regulatory developments, asset performance, and tax”

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“With investors earning an average XIRR of 9–12%, InvITs have emerged as an effective investment avenue offering stable long-term returns”

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tax bracket play a decisive role in overall returns.

In this context, investors must avoid common pitfalls such as treating all payouts as uniform income, ignoring the breakdown, or comparing InvIT yields directly with traditional fixed-income instruments without adjusting for taxes. A prudent evaluation requires a careful analysis of distribution mix, historical consistency, and effective post-tax yield.

Sebi, too, is contemplating a number of changes to facilitate ease of doing business. “For instance, it has been proposed that privately listed InvITs be allowed to invest in under-construction projects up to 10% of the value of their total asset base in line with publicly listed InvITs,” says Janhavi Manohar, Partner, Cyril Amarchand Mangaldas.

INVESTMENT CHECKLIST

InvITs offer more stability than equities and better yield potential than traditional fixed-income products. “InvITs can be used as a diversification tool, especially

for investors looking for an income and risk trade-off. The medium- to long-term perspective of three-five years provides investors an opportunity to enjoy the stability of distribution as well as incremental upside from scale-up or acquisitions of assets,” says N. Amrutesh Reddy, Director of NDR InvIT.

However, investors must conduct their own due diligence before investing. Crucially, past performance cannot be the sole criteria for investment decisions.

Investors must recognise that an InvIT is not a single operating entity but a multi-layered structure comprising various entities involved in owning, managing, and overseeing assets and cash flows. This layered structure, while efficient, introduces additional complexity and potential points of failure.

“Keeping that in mind, retail investors should undertake due diligence on aspects such as the cash flow waterfall mechanism, that is, understanding how cash flows are prioritised and distributed to different stakeholders; sponsor commitment, including minimum unitholding requirements and lock-in obligations; and support agreements that may provide revenue or cash flow backing,” says Parwani.

A cash flow waterfall is a structured system that allocates incoming cash in a fixed order—first expenses, then debt obligations, followed by reserves, and finally investor payouts.

In addition, investors should evaluate the track record of the sponsor, the investment manager, and the InvIT itself where applicable, while also assessing related-party transactions (RPTs) to understand the nature of dealings with connected entities. In the case of InvITs, this would mean the trust dealing with its own group entities. Investors should watch these closely, as unfair pricing or excessive fees can reduce returns.

It is equally important to analyse the assumptions underpinning asset valuations and review any ongoing or potential legal or regulatory disputes that may impact performance.

Careful evaluation of these factors enables investors to identify red flags such as aggressive asset monetisation by sponsors at elevated valuations while simultaneously reducing their own exposure. Similarly, excessive related party transactions (RPTs) may indicate a risk of value leakage from unit holders.

“Investors who combine a clear understanding of regulatory safeguards with thorough due diligence and ongoing monitoring are better positioned to make informed decisions and manage risks,” says Parwani. **BT**